THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-V)

C.P.(CAA)-80/ND/2020
Connected with CA (CAA)82/ND/2020

In the matter of Scheme of Arrangements

OF

Chemester Food Industry Private Limited
Registered office:
Premises No. 111, Rectangle 1,
Saket, New Delhi - 110017

...(Petitioner Company /Demerged Company)

AND

Annapati Nutri Foods Private Limited
Registered office:
A-15/16, Ganesh Nagar, Firozabad -283,
Uttar Pradesh

... (Non-Petitioner Company / Resulting Company)

Order Pronounced on: 03.11.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Rajeev K Goel and Kartikeya Goel, Advocates
For the OL	: Hemlata Rawat & Manas Tripathi
For the RD	: Shankari Mishra, adv.
For the IT Department	: Easha Kadian, Sanjay Kumar, Standing Counsels along with Himanshu Adv.

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ORDER

PER- SHRI RAHUL BHATNAGAR MEMBER (T)

This joint petition has been filed under the provisions of Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approval of Scheme of Arrangement (for brevity **"the Scheme"**) of Demerged Company into Resulting Company.

2. A perusal of the petition discloses that initially the First Motion application was filed before this Tribunal vide CA(CAA)-82/ND/2020 moved under Sections 230-232 of the Companies Act, 2013 and vide order dated 01.10.2020, directions were issued by this Tribunal for dispensing/ convening meetings of Secured Creditors and Unsecured Creditors of all the Demerged Company. Further directions were issued for convening meeting of Shareholders of the Demerged Company, through video conferencing and to pass the proposed scheme of Arrangement.

3. The meeting of shareholders of the demerged company was convened and held on Sunday, 21st November, 2020 at 3:30 P.M. through video conferencing. The Scheme was unanimously approved in the said meeting by all the equity shareholders with 100% voting.

4. Thereafter the 2nd Motion petition was filed on 03.12.2020 vide (CAA) No. 80 (ND)/2020 within prescribed time limit and vide order dated the 04.01.2021 petitioners were directed to carry out publication in the

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newspaper namely **'Business Standard'** (English, Delhi Edition) and **'Business Standard'** in (Hindi, Delhi Edition). In addition to the public notices, notices were directed to be served on to the Central Government through Regional Director (Northern Region), Registrar of Companies (NCT of Delhi and Haryana), the Income Tax Department, New Delhi and to the other concerned sectoral regulators.

5. It is seen from the records that the petitioner company has filed affidavit dated 03.02.2021 and 16.02.2021, affirming compliance of order dated 04.01.2021 passed by this Tribunal. A perusal of the affidavit disclose that the demerged company has affected newspaper publication as directed in the Business Standard (English Edition) and Business Standard (Hindi Edition) respectively in their issues dated 04.01.2021. The copy of original cutting of the newspaper is annexed. Further the demerged Company has affirmed that the copy of petition has been duly served upon the Registrar of Companies, Regional Director (Northern Region) and Income Tax Department. It was further also clarified that there are no other sectoral authorities who have significant bearing on the operations of the petitioner companies.

6. The applicant stated that the resulting company being the non-petitioner in the present application has filed a 2nd Motion Petition under Section 230, 232 & 66 of the companies Act, 2013 and other applicable provisions if any, being CP (CAA) 156/ALD of 2020 connected with Company Application No.CA (CAA) 1396/ALD of 2020 filed before the Hon'ble National Company Law Tribunal, Allahabad Bench for approval of scheme of arrangement. The NCLT, Allahabad bench vide its order dated 27th August 2021, has allowed the aforesaid Scheme of Arrangement with respect to the resulting company. Further aforesaid

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order dated 27.08.2021 has been submitted with the ROC, Uttar Pradesh, Kanpur along with the requisite form INC- 28 vide SRN: T41457790 dated 08.09.2021. That Regional Director, Northern Region, MCA, New Delhi and the Ld. ROC have filed their respective reports /affidavits on the aforesaid scheme of Arrangement to the Hon'ble Tribunal stating that RD has only reported the abovementioned mismatch of figures between the Performa balance sheet and the audited financial statement for the year ending 31st March 2020 and has not objected to the sanction of the Scheme of arrangement. In terms of the said observations the scheme has been amended and the approval for sanction of the scheme has been accorded by the Hon'ble Allahabad Bench. No objection whatsoever has been received from any other persons or sectoral Authorities.

7. The Regional Director (Northern Region) has filed an affidavit dated 20.10.2021 by setting out facts of the case, the observations received from the ROC vide report dated 27.11.2020 and in terms of the reply dated 05.08.2021 and 11.10.2021 received from the applicant companies stated that the matter be kindly decided on merit.

The relevant extracts of the observations made by the RD in its report is as stated below:

> *"11. That as per Clause-32 of the Report of ROC, Delhi dated 27.11.2020, the following observations were made:*
>
> *a. By way of the proposed Scheme of Arrangement, there is a proposal by Resulting Company to the shareholders of Demerged Company inter alia as under:*
>
> - *1 (one) Equity Share of Rs. 10/- each, credited as fully paid up, to the shareholders of Demerged Company for every 1 (One) equity shares of Rs. 10/- each held in the Demerged Company" and*
> - *In case any equity shareholder of the Demerged Company does not want to receive equity shares in the Resulting Company as mentioned above such equity shareholder will*

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have an option to get equivalent number of (9% non-cumulative) Compulsorily Redeemable Preference Shares of Rs. 10/- each (CRPS)

8. The applicant also stated that on examination of the scheme and reply submitted by the petitioner companies, the RD further observed as follows:

> *"Para 3.1.1 of the scheme speaks about accounting treatment of assets and liabilities in the books of the Demerged Company which inter-alia speaks that:*
> *"The difference between the assets and liabilities pertaining to the demerged business will be adjusted against the Capital Reserves, Security Premium account, and other Reserves & Surplus in the books of the Demerged Company"*
> *"Further, para-3.2.1 of the scheme speaks about accounting treatment of assets and liabilities in the books of the Resulting Company which inter-alia speaks that "The Resulting Company shall record the assets and liabilities (difference between the assets and liabilities hereinafter referred to as "Net Asset") pertaining to the Demerged Business vested in it pursuant to this scheme, at the book values as appearing in the books of the Demerged Company as on the date of appointed date. In section 2(19AA) of the Income Tax Act, 1961, any change in the value of assets consequent to their revaluation will be ignored"*

Further, the petitioner company also enclosed a Performa balance sheet of the demerged company with the petition which depicts the value of respective assets and liabilities of the demerged undertaking.

9. It is also stated that to ascertain the details of the real transactions of this arrangement, the RD has asked the petitioner companies to submit details of assets and liabilities transferred from the Demerged Company to the Resulting Company which was submitted by the petitioner resulting company vide their reply dated 11.10.2021. In the said reply the Petitioner Demerged Company has given details of the Assets and Liabilities to be transferred from the Demerged Company to

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the Resulting Company on approval of the scheme which was not made as part of the scheme. The detailed statement of assets and liabilities of the Demerged Company to be transferred to the Resulting Company on approval of the scheme by the Hon'ble Tribunal is also enclosed with the affidavit dated 20.10.2021.

10. The petitioners submitted that in compliance of order dated 1s October 2020 and 4th Jan 2021, passed by the Hon'ble Tribunal in the 1st motion Company Application and notice of the 2nd motion Company petition were, inter alia, served to the Income tax department. However, despite repeated opportunities no comments were received from the IT Department with respect to the Demerged Company. Further in terms of provisions of Section 230(5) of the companies Act, 2013, if on expiry of 30 days from the date of notice, it may be presumed that the IT Department has no comments or objections to the scheme being allowed. The Income Tax department has filed its report with respect to the non-petitioner resulting company which has been placed on record. This Tribunal vide order dated 28th April 2022 also directed the petitioner demerged company and the non-petitioner resulting company to file affidavit confirming that they shall make payment of statutory dues pursuant to sanction of the scheme of arrangement. Hence in compliance of the said order the petitioner companies have filed the affidavit dated 02.05.2022 undertaking to pay any liability arising in future by the respective companies as per the provisions of law. Further that no enquiry, investigation, scrutiny or other proceeding is being carried out by the Income Tax Department against any of the companies. The petitioner company has also filed their up-to-date Income Tax Returns till Assessment Year 2021-22.

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11. That during the course of the proceeding vide order dated 08.04.2022 it has been recorded that the OL has submitted that *"it has no role to play in the matter of demerger"*. Accordingly, it has no objection to the scheme being allowed.

12. It was submitted that no objections from any third party or public at large have been received against the Scheme of Amalgamation.

13. The petitioner has affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the Petitioner Companies.

14. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the petitioner companies to the proposed scheme, as well as in terms of the reports filed by the Regional director (Northern Region), ROC and further considering the affidavit of undertaking filed by the petitioner company, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the Companies Act, 2013. The petitioners however remain bound to comply with all the statutory requirements in accordance with law.

15. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned persons, Directors and officials of the petitioners.

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16. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

17. **THIS TRIBUNAL FURTHER ORDER(S):**

a) That all Demerged company shall stand dissolved without following the process of winding up; and

b) That all the property, rights and powers of all the Demerged company, be transferred without further act or deed, to the Resulting company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting company.

c) That all the liabilities and duties of the Demerged company, be transferred without further act or deed, to the Resulting company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Resulting company; and

d) That all proceeding now pending by or against the Demerged company, be continued by or against the Resulting company; and

e) That all the employees of the Demerged company in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date shall become the employees of the Resulting company on such date without any break or interruption in services and upon terms and

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conditions not less favorable than those subsisting in the respective demerged company on the said date.

f) That petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the petitioner companies shall stand dissolved and the Registrar of Company shall place all documents relating to all the petitioner companies registered with him on the file kept by him in relation to the Resulting company and the files relating to all the petitioner companies shall be consolidated accordingly; and

g) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

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Member (T)

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Member (J)